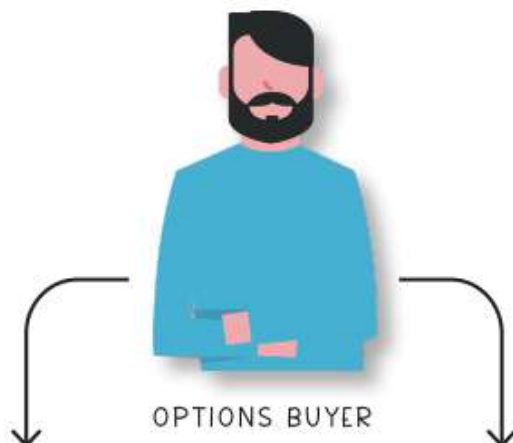


SCENARIO 2
When the Closing Price on Expiry is ₹2500

BUYER'S PERSPECTIVE



Here, we can see that the price on expiry is ₹2500 which is greater than the strike price. In this case, the put option will not be exercised as the Option buyer can sell the asset at a higher price in the market as against what the put option is allowing them to do. Since the put option will not be exercised, there will be no payoff involved. So, the buyer will not receive any payoff and the loss is the premium paid by them.

TOTAL LOSS OF THE BUYER = ₹50

SELLER'S PERSPECTIVE



Since there is no payoff involved, there will be no cash outflow.

TOTAL PROFITS FOR THE OPTION SELLER = ₹50

This is how Different types of put options behave at different price levels at expiry.